

EQUITY RESEARCH · COMPANY DEEP DIVE

Mastercard Incorporated (MA.US)

Financial Services · Credit Services

Large Cap (>\$200B) · Report Date: August 24, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-08-24

HOLD

Composite · Valuation: UNDERWEIGHT

Target \$537.55 · -9.8% upside

Price \$596.14

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$537.55 (-9.8% vs \$596.14); DCF 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation
- Moderate revenue expansion (14.1% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	UNDERWEIGHT	Blended PT \$537.55	45%
FSA	Stable	Health +0.05 · Stable	20%
Technical	BULLISH	Bullish · Golden Cross	20%
Quantitative	NEUTRAL	Score -0.05 · 12m +0%	15%
Composite	HOLD	Score -0.06 · 25% confluence	—

Recent golden cross; valuation rich but trend improving — wait for confirmation.

INVESTMENT THESIS / EXECUTIVE SUMMARY

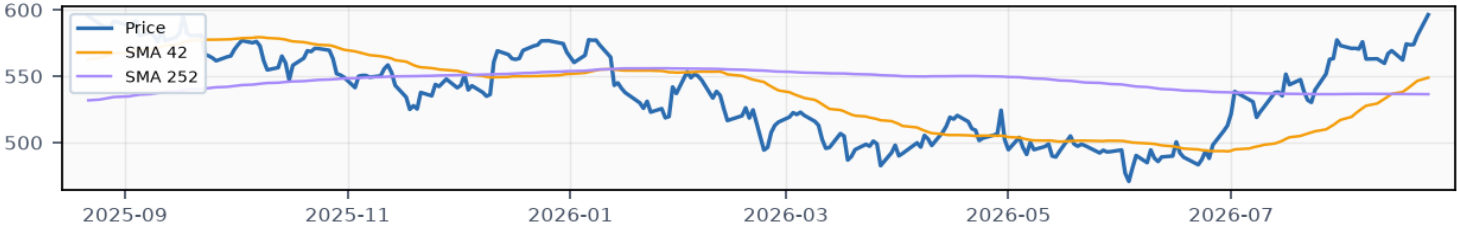
Mastercard Incorporated (MA) — Financial Services. Mastercard Incorporated, a technology company, provides transaction processing and other payment-related products and services in the United States and... **UNDERWEIGHT** rating; blended target \$537.55. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$522.23B	Shares Out.	869.5M
52-Week Range	\$464.52 – \$601.62	P/E (TTM)	32.8x
P/B	93.2x	Beta	0.73
Avg Volume	3.52M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$35.08B	Rev Growth	+14.1%
Op. Margin	61.1%	FCF (TTM)	\$16.43B
Gross Margin	100.0%	ROE	2.4%
EV/EBITDA	23.5x	Debt/Equity	439.6%
EPS (TTM)	\$18.17	Div Yield	60.0%

PRICE TREND · SMA 42 / 252

MA · Price & SMA · GC



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	28,167	32,791	37,415	41,388	44,775
Revenue Growth (%)	N/A	16.4%	14.1%	10.6%	8.2%
Net Income (\$M)	12,874	14,968	17,078	18,892	20,438
Gross Margin (%)	76.3%	77.9%	100.0%	100.0%	100.0%
Net Margin (%)	45.7%	45.6%	45.6%	45.6%	45.6%
EPS (\$)	14.81	17.22	19.64	21.73	23.51
P/E (x)	40.26	34.63	30.35	27.44	25.36

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$548.93	Short-term trend	12m Momentum	+0.2%	
SMA (252d)	\$536.49	Long-term trend	3m Momentum	+21.2%	
RSI (14d)	66.9	Momentum oscillator	Ann. Volatility	24.0%	
Trend	Bullish		Sharpe Ratio	0.30	Rf=4%
Golden Cross (20d)	Yes	Golden Cross	Max Drawdown	-28.3%	
Death Cross (20d)	No	6d ago	Rel. Strength vs SPY	-12.6%	
TA Signal	BULLISH	Golden Cross within last 20d (SMA42 > SMA252); SMA42=\$548.93, SMA252=\$536.49	Quant Score	-0.05	NEUTRAL
			SMA Backtest (ann.)	12.8%	B&H; 15.8%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$505.12	-15.3%	80%	Included in blend
Comps — Blended	\$279.94	-53.0%	0% (excluded)	Diverges below other methods (48% of median)
Analyst consensus	\$667.30	+11.9%	20%	Included in blend
Blended target	\$537.55	-9.8%	100%	DCF 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
8.04%	1.98%	12.00%	\$439.18B	\$505.12	-15.3%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
AXP	American Express Compa	\$231.59B	20.8x	N/A	16.1%	+12.8%
PYPL	PayPal Holdings, Inc.	\$53.46B	11.7x	8.6x	14.4%	+4.8%
COF	Capital One Financial	\$135.37B	12.2x	N/A	21.9%	+11.1%
DFS	DFS	N/A	N/A	N/A	N/A	N/A
MA*	Mastercard Incorporate	\$522.23B	32.8x	23.5x	46.3%	+14.1%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Moderate revenue expansion (14.1% YoY); High operating leverage (61.1% margin); Defensive profile (β=0.73) · Risks: Elevated leverage (D/E: 440%) Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.